

Outbound Email Failure

Admin brief for Microsoft 365 / Entra ID administrators

MetroShoe Warehouse

September 2026

ISSUE: DAILY REPORT EMAILS NOT DELIVERED

On September 3, 2026, MSW Overwatch daily runs completed in the app, but report emails were not delivered. Microsoft returns error 535 5.7.139 — Security Defaults is blocking SMTP password login for `overwatch@metroshoewarehouse.com`.

Recommended fix: Microsoft Graph Mail.Send (application permission).

AT A GLANCE

Field	Value
Application	MSW Overwatch (FastAPI backend on Render)
Sender mailbox	<code>overwatch@metroshoewarehouse.com</code>
What failed	SMTP login to <code>smtp.office365.com:587</code>
Error code	535 5.7.139 — Security Defaults policy
App job status	Completed (reports generated; email step failed)
Recommended fix	Microsoft Graph Mail.Send (application permission)

WHAT THIS IS NOT

- Not a missing-recipients problem — vendor To/BCC lists are configured.
- Not a report-generation failure — CSV/Excel files build successfully.
- Not an application crash — daily runs finish and show as completed.

Microsoft rejects the sign-in method (SMTP username + password) before any message is sent.

THE ERROR MESSAGE

535 5.7.139 Authentication unsuccessful,
user is locked by your organization's security defaults policy.
Contact your administrator.

Code	Meaning
535	SMTP authentication failed
5.7.139	Blocked by Security Defaults (legacy auth not allowed)

WHERE IT FAILS IN THE PIPELINE

```
1. Daily job completes ..... OK
2. MAP exception report generated ..... OK
3. App connects to smtp.office365.com:587 ..... OK
4. Login as overwatch@... + password ..... FAIL (535 5.7.139)
5. Email delivery ..... Never reached
```

Emails succeeded on September 2, 2026 for the same vendors. This suggests a recent tenant policy change or new enforcement on the mailbox.

HOW TO VERIFY (ADMIN CHECKLIST)

Check 1 — Security Defaults

- Open Microsoft Entra admin center (entra.microsoft.com)
- Identity → Overview → Properties → Manage Security defaults
- Note whether Security Defaults are Enabled

Check 2 — SMTP AUTH on the mailbox

```
Connect-ExchangeOnline
Get-CASMailbox -Identity overwatch@metroshoewarehouse.com
| Format-List SmtplibClientAuthenticationDisabled
```

If SmtplibClientAuthenticationDisabled : True, SMTP login is disabled for this mailbox.

Check 3 — Sign-in logs (optional)

- Entra → Monitoring → Sign-in logs
- Filter failed sign-ins for overwatch@metroshoewarehouse.com
- Look for blocks tied to Security Defaults or legacy authentication

FIX OPTION A — MICROSOFT GRAPH (RECOMMENDED)

Register an Entra application with Mail.Send (application permission). The app sends mail via HTTPS Graph API — no mailbox password over SMTP.

1. Create app registration

- Entra admin center → Applications → App registrations → New registration
- Name: MSW Overwatch Graph Mail
- Account type: Accounts in this organizational directory only
- Save Application (client) ID and Directory (tenant) ID

2. Add API permissions

- API permissions → Add permission → Microsoft Graph
- Application permissions → Mail.Send
- Grant admin consent for the organization

3. Create client secret

- Certificates & secrets → New client secret
- Copy the secret value immediately (shown once only)

OPTION A — RESTRICT, CONFIGURE, HAND OFF

Step 4 — Restrict send to overwatch@ only (recommended)

```
Connect-ExchangeOnline

New-ServicePrincipal -AppId "" `
-ServiceId ""

New-ApplicationAccessPolicy `
-AppId "" `
-PolicyScopeGroupId "overwatch@metroshoewarehouse.com" `
-AccessRight RestrictAccess `
-Description "MSW Overwatch Graph mail"

Test-ApplicationAccessPolicy `
-Identity overwatch@metroshoewarehouse.com `
-AppId ""
```

Mailbox overwatch@metroshoewarehouse.com must exist and be licensed.

Step 5 — Provide credentials to MSW Overwatch team

Share via a secure channel (not plain email):

Environment variable	Description
AZURE_TENANT_ID	Directory (tenant) ID from Entra
AZURE_CLIENT_ID	Application (client) ID from app registration
AZURE_CLIENT_SECRET	Client secret from Step 3

Step 6 — Production settings (Render metro-api service)

```
EMAIL_TRANSPORT=graph
EMAIL_FROM=overwatch@metroshoewarehouse.com
EMAIL_FROM_NAME=MSW Overwatch
AZURE_TENANT_ID=
AZURE_CLIENT_ID=
AZURE_CLIENT_SECRET=
```

EMAIL_PASSWORD is not required for Graph. Restart the API service after saving changes.

FIX OPTION B — RE-ENABLE SMTP (NOT RECOMMENDED)

Only if Graph cannot be used. May require tenant-wide policy changes and can break again when Microsoft tightens security.

```
Set-CASMailbox -Identity overwatch@metroshoewarehouse.com `
-SmtpClientAuthenticationDisabled $false
```

SMTP vs GRAPH COMPARISON

	SMTP (current, failing)	Graph (recommended)
Authentication	Mailbox password	Entra app + client secret
Protocol	SMTP port 587	HTTPS Microsoft Graph API
Security Defaults	Often blocked	Supported
Credential rotation	Mailbox password	Client secret (scheduled)

GRAPH TROUBLESHOOTING

Error	Likely cause
Token request 401	Wrong tenant ID, client ID, or secret
sendMail 403	Admin consent missing, or access policy blocks mailbox
sendMail 404	EMAIL_FROM mailbox does not exist
Still using SMTP	Azure vars missing, or EMAIL_TRANSPORT=smtp

VERIFICATION AFTER FIX

1. Restart Render API service
2. Run test email: POST /api/v1/reports/test-email
3. Confirm API response shows "transport": "graph"
4. Confirm message arrives from MSW Overwatch <overwatch@...>
5. Resend missed September 3, 2026 reports (DNK, OBZ, SFF)

AFFECTED RUNS — SEPTEMBER 3, 2026

Vend or	Job name	App status	Email sent
DNK	Daily DNK Uploaded Report - 2026-09-03	Completed	No
OBZ	Daily OBZ Uploaded Report - 2026-09-03	Completed	No
SFF	Daily SFF Uploaded Report - 2026-09-03	Completed	No

Recipients were configured on each job. Failure occurred at Microsoft authentication only.

REQUEST TO ADMINISTRATOR

Please implement Option A (Microsoft Graph) and provide AZURE_TENANT_ID, AZURE_CLIENT_ID, and AZURE_CLIENT_SECRET through a secure channel.

Detailed technical steps: docs/microsoft-graph-email-setup.md in the MSW Overwatch repository.